Effective:
January 1, 2025

Background:
The annual Cost of Living Adjustment (COLA) occurs for Social Security Administration (SSA) Title II payments, Supplemental Security Income (SSI)/State Supplementary Payments (SSP), the In-Kind Support and Maintenance (ISM) levels for computing Pickle eligibility, Pickle Disregard computation chart, Federal Benefit Rate, Medicare Premiums, Substantial Gainful Activity (SGA) and the SSI standard and parental allocation amounts.

Purpose:
To provide guidance for processing the 2025 SSA COLA and update the Medi-Cal Assistance Standards chart with 2025 values.

Policy:
Effective January 1, 2025, payments for SSA Title II Retirement, Survivors, and Disability Insurance will receive a 2.5 percent COLA increase.

Non-MAGI Eligibility Groups
This increase will not be applied to the Aged, Blind, and Disabled (ABD) Federal Poverty Level (FPL) and Medicare Savings Program (MSP) until April 2025.

MAGI Eligibility Groups
The Modified Adjusted Gross Income (MAGI) eligibility groups will not be affected at this time. The California Healthcare, Eligibility, Enrollment and Retention Systems (CalHEERS) will not run a COLA update until the FPLs are updated in April 2025. The Department of Health Care Services (DHCS) will notify affected MAGI beneficiaries about the change when CalHEERS runs the COLA update. Beneficiaries may contact the county to request a re-evaluation back to January 1, 2025, if impacted.

The following Maintenance Need Assistance Standards charts will be updated with the 2025 values:
- SSI/SSP payment cash grant levels for determining Pickle eligibility
- ISM for determining Pickle eligibility
- Pickle Disregard computation chart
- Federal Benefit Rate
- SSI standard, Community Spouse, and parental allocation amounts
- Medicare Premiums
- SGA

Procedure:
Use the updated Maintenance Need Assistance Standards chart when evaluating the appropriate programs. Do not apply the COLA prematurely to FPL and MAGI based programs.

Program Impacts:
Automation
The California Statewide Automated Welfare Systems (CalSAWS) will apply the COLA and complete a mass update of Medi-Cal cases over the weekend of December 7, 2024. Cases that do not have the SSA income or Medicare Part B premium amount(s) updated must be reviewed, manually updated, and authorized. The lists will be made available on SharePoint.

References:
ACWDL 24-12

Sunset Date:
This policy will be reviewed for continuance on or by 12/31/2025.

Approval for Release:



Rick Wanne, Director
Self-Sufficiency Services